
Industrial Relations & Social Security by Tatva trend



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Chapter 1: Industrial Relations

1.1 Meaning of Industrial Relations

- **Industrial Relations (IR)** = “*Industry*” + “*Relations*”
 - **Industry** → all productive activities (agriculture, mining, manufacturing, banking, transport, etc.)
 - **Relations** → interactions between **employers**, **employees**, and the **state**.

In simple words: IR is about maintaining harmony between workers, employers, and government for smooth functioning of industry.

1.2 Definitions

- **Bethel:** IR is that part of management concerned with manpower of the enterprise.
 - **V. Agnihotri:** IR is the relationship between employees and management, directly or indirectly arising from union–employer relations.
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1.3 Objectives of IR

Objectives	Explanation
Peace	Ensure industrial peace by reducing strikes, lockouts.
Cooperation	Promote teamwork between management & workers.
Fairness	Provide fair wages, good working conditions.
Productivity	Higher efficiency → national growth.
Social Justice	Protect rights of workers & balance with employers’ interests.

1.4 Types of Industrial Relations

1. **Labour Relations** → between trade unions & management.
2. **Group Relations** → among groups of workers, supervisors, technical staff.
3. **Employer–Employee Relations** → management vs. individual employees.

4. **Community/Public Relations** → industry & society.

1.5 Models of Industrial Relations

(a) **Dunlop's System Model**

- *Actors*: Govt. agencies, management, workers/unions.
- *Shared Ideology*: Common beliefs binding system.
- *Contexts*: Technology, market, power distribution.
- *Rules*: Substantive (wages), procedural (grievances), distributive.

Criticism: Static, descriptive, ignores power/conflict.

(b) **Craig's Model**

- *Inputs*: Legal, political, socio-cultural factors.
 - *Conversion mechanisms*: bargaining, grievance settlement.
 - *Outputs*: Productivity, equity, worker morale.
 - *Feedback*: Outcomes influence future relations.
-

1.6 Layers of Industrial Relations

Layer	Role
Employer	Provides jobs, seeks profit.
Employee	Provides labour, demands fair treatment.
Government	Regulates via laws, policies.
Trade Unions	Protect workers' interests.

1.7 Approaches to IR

Approach	Key Idea	Criticism
Unitary	Org = one family, conflicts are temporary.	Unrealistic, ignores unions.

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Approach	Key Idea	Criticism
Pluralist	Multiple groups (management, unions); conflict is natural & resolved by bargaining.	Power imbalance, over-reliance on state.
Marxist	Class struggle between labour & capital.	Narrow, only capitalist view.
Systems (Dunlop)	IR = actors + context + ideology + rules.	Static, descriptive.
Human Relations	Good relations, motivation, communication.	Can be manipulative.
Gandhian/Trusteeship	Employer = trustee of wealth, non-violent conflict resolution.	Idealistic, hard to implement.
Sociological	Attitude, skills, group behaviour shape IR.	Less predictive.
Psychological	Conflicts arise from different perceptions.	Overemphasises mindset.
Socialistic	Worker participation in management.	Limited to socialist economies.

1.8 Industrial Relations in India (Five Year Plans)

Plan	Focus on IR
1st (1951–56)	Peaceful IR, fair wages, social justice.
2nd (1956–61)	<i>Code of Discipline</i> (1958), workers' education, voluntary arbitration.
3rd (1961–66)	Emphasis on collective bargaining, National Commission on Labour (1966).
4th (1969–)	Employer–employee partnership, welfare activities.

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Plan	Focus on IR
74)	
5th (1974–79)	Shop councils, bipartite discussion, job creation.
6th (1980–85)	Dispute resolution, strengthen tripartite consultations.
7th (1986–91)	Human resource development, policy for sick industries.
Post-1991	Focus on globalization, skill development, unorganized sector, social security.

1.9 Theoretical Perspectives

1. **Unitarist** → one happy family, no unions needed.
2. **Pluralist** → multiple interest groups, conflict normal.
3. **Radical/Marxist** → conflict inevitable in capitalism, unions are worker defense.

Chapter 2: Labour Welfare

2.1 Meaning of Labour Welfare

- **Labour Welfare** → Activities & services provided to workers to ensure their **well-being, comfort, and improvement** beyond wages.
- It is **not charity**, but a **rightful part** of industrial relations.

Example: Providing canteen, housing, healthcare, social security, safety, education.

2.2 Definitions

- **ILO**: Labour welfare = services, facilities, and amenities established near workplaces to ensure a healthy and congenial environment.
 - **Arthur James Todd**: Anything done for employees' comfort and improvement (intellectual & social), beyond wages.
 - **S.T. Edwards**: Wages can buy time, but *loyalty, enthusiasm, and initiative* come from welfare activities.
-

2.3 Evolution in India

- Early efforts by **philanthropists, social workers, religious leaders**.
 - With **Industrial Revolution** → large factories → exploitation → need for welfare.
 - Gradually became part of **government policy, trade unions' role, and employers' responsibility**.
-

2.4 Scope of Labour Welfare

Type	Examples
Intra-Mural (inside factory)	Clean drinking water, canteen, restrooms, crèche, safety devices, medical aid.
Extra-Mural (outside factory)	Housing, transport, education, recreation, cooperative societies.

Type	Examples
Social Security	Insurance, maternity benefits, pensions, provident fund.
Labour welfare covers workers' life from “ cradle to grave ” (e.g., ESIC gives child medical aid, funeral benefit after death).	

2.5 Objectives of Labour Welfare

1. Provide social comfort to employees.
 2. Improve working & living conditions.
 3. Reduce absenteeism and labour turnover.
 4. Build sense of responsibility & belongingness.
 5. Raise morale & efficiency.
 6. Promote industrial peace.
-

2.6 Principles of Labour Welfare

Principle	Explanation
Integration/Coordination	Welfare must cover all aspects (physical, mental, moral).
Association	Workers should participate in planning & execution.
Responsibility	Workers must share responsibility (safety, canteen committees).
Accountability	Welfare schemes must be evaluated & socially audited.
Timeliness	Help must reach workers at the right time (e.g., medical, financial aid).

2.7 Importance of Labour Welfare

1. **Improves IR** → less strikes/conflicts.
2. **Creates stable workforce** → less turnover.
3. **Raises productivity & income.**
4. **Boosts morale & sense of belonging.**

5. **Changes employer outlook** → more humane approach.
 6. **Benefits society** → social justice & equality.
-

2.8 Theories of Labour Welfare

Theory	Essence
Policing Theory	Employers are selfish → Govt. must compel them to provide welfare.
Religious Theory	Welfare seen as moral/religious duty (good deeds for salvation).
Philanthropic Theory	Out of compassion/love for mankind, employers help workers.
Paternalistic/Trusteeship Theory	Employer = trustee of workers' welfare (Gandhian view).
Placating Theory	Welfare used to pacify/mollify organized labour to avoid unrest.
Public Relations Theory	Welfare builds goodwill & positive image of employer.
Functional/Efficiency Theory	Happy workers → more productive → welfare is an investment.

2.9 Labour Welfare Funds in India

- Govt. set up **Labour Welfare Funds** for specific sectors:
 - **Beedi Workers' Fund**
 - **Mica Mines Labour Fund**
 - **Cine Workers' Welfare Fund**
 - Purpose: Provide **housing, education, health care, recreation** for workers in unorganized/weak sectors.
-

2.10 Position of Labour Welfare in India

- Welfare activities are carried out by:
 1. **Employers** → statutory & voluntary welfare.
 2. **Trade Unions** → demand welfare rights.
 3. **Government** → labour laws, social security schemes.
 4. **NGOs/Voluntary Bodies** → support weaker sections.

Trend: From **voluntary charity** → **compulsory statutory welfare** (Factories Act, ESI, EPF).

Quick Revision for UPSC EPFO

- Labour welfare = well-being of workers beyond wages.
- **Scope** = Intra-mural, extra-mural, social security.
- **Principles** = integration, association, responsibility, accountability, timeliness.
- **Theories** = policing, religious, philanthropic, trusteeship, placating, PR, functional.
- India has **sector-specific welfare funds**.

Chapter 3: Trade Unionism

3.1 Meaning

- **Trade Union** = an organized association of workers formed to protect and promote their interests (wages, working conditions, job security).
 - Aims at **collective bargaining** rather than individual struggle.
 - Trade unions are recognized under the **Indian Trade Union Act, 1926**.
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3.2 Definitions

- **ILO**: Trade union is an association of workers for protecting and improving their working conditions.
 - **Webb (1894)**: A trade union is a continuous association of wage earners to maintain or improve conditions of work.
-

3.3 Objectives of Trade Unions

Economic Objectives	Social/Political Objectives
Secure fair wages.	Protect democratic rights of workers.
Improve working conditions.	Promote social justice & equality.
Provide job security.	Participate in policy making.
Protect against exploitation.	Improve status of labour in society.
Support welfare services (education, housing). Foster class solidarity.	

3.4 Functions of Trade Unions

1. **Protective** → safeguard workers against exploitation.
2. **Economic** → fight for wages, bonuses, allowances.
3. **Social** → welfare activities like health, housing, education.
4. **Political** → influence government policies, labour laws.
5. **Mutual Help** → strike funds, financial aid in distress.

3.5 History of Trade Union Movement in India

Pre-Independence Era

- **1850–1900:** Early associations, no formal unions (Bombay Mill Hands Association, 1890).
- **1900–1920:** Rise of worker protests due to exploitation; ILO established in 1919 influenced Indian leaders.
- **1920:** Formation of **All India Trade Union Congress (AITUC)**.
- **1926: Indian Trade Union Act** gave legal recognition to unions.
- **1930s–40s:** Multiplicity of unions due to political affiliations; emergence of INTUC, HMS.

Post-Independence Era

- Unions linked to political parties (INTUC → Congress, AITUC → CPI, HMS → Socialists).
- Government encouraged collective bargaining, but rivalry weakened unions.
- **1960s–70s:** Frequent strikes, “Gherao” tactics, militancy in labour movement.
- **1980s onwards:** Decline due to automation, liberalization, contract labour.

3.6 Structure of Trade Unions in India

Level	Examples
Enterprise/Plant Level	Trade unions in one company (e.g., Tata Steel Workers’ Union).
Industrial Level	Unions across an industry (e.g., All India Bank Employees Association).
National Level	Central Trade Union Organizations (CTUOs) like AITUC, INTUC, HMS, CITU.
International Level	Affiliation with ILO, ITUC.

3.7 Major Trade Union Federations in India

Federation	Founded	Political Link
AITUC	1920	Communist (CPI)
INTUC	1947	Indian National Congress
HMS	1948	Socialist movement
CITU	1970	CPI (Marxist)
BMS (Bharatiya Mazdoor Sangh)	1955	Linked to RSS/BJP

3.8 Problems of Trade Unions in India

1. **Multiplicity of Unions** → political rivalries weaken unity.
 2. **Outside Leadership** → dominated by politicians, not workers.
 3. **Financial Weakness** → low subscription, poor resources.
 4. **Inter-union Rivalry** → frequent strikes, weak bargaining power.
 5. **Uneven Growth** → strong in organized sector, weak in unorganized sector.
 6. **Declining Influence** → globalization, contract labour, automation.
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3.9 Role of Trade Unions in Industrial Relations

- Balance power between labour and management.
 - Promote **collective bargaining** instead of individual disputes.
 - Reduce industrial unrest by negotiation.
 - Represent workers in **grievances, tribunals, tripartite bodies**.
 - Contribute to social justice and democratic participation.
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3.10 Recent Trends in Trade Unionism

1. Shift from **political agitation** → **economic & social issues**.
2. Growth of **independent unions** (not tied to political parties).
3. Rising focus on **contract, informal, gig workers**.
4. Emphasis on **skill development, social security**.
5. Decline of strikes; more use of **conciliation & arbitration**.

Quick Revision for UPSC EPFO

- **First Trade Union in India:** Bombay Mill Hands Association (1890).
- **First Central TU:** AITUC (1920).
- **Key Act:** Indian Trade Union Act, 1926.
- **Major Federations:** AITUC, INTUC, HMS, CITU, BMS.
- **Problems:** Multiplicity, rivalry, outside leadership.
- **Trend:** Declining power in globalization era, rising role in informal sector.

Chapter 4: Collective Bargaining

4.1 Meaning

- **Collective Bargaining** = negotiation between **employers (management)** and **employees (trade unions)** to settle issues related to wages, working conditions, and other employment terms.
- It is a method of **industrial democracy**.
- Instead of fighting individually, workers negotiate **collectively** for better outcomes.

Term first used by **Sidney & Beatrice Webb (1891)**.

4.2 Definitions

- **ILO**: Collective bargaining is negotiations between employers and workers' organizations to determine working conditions and employment terms.
 - **Dale Yoder**: A process where representatives of employers and employees meet to determine conditions of employment.
-

4.3 Features

1. **Two parties**: Employers & employees (via unions).
 2. **Bargaining process**: Discussion, proposals, counter-proposals.
 3. **Continuous process**: Not one-time; requires periodic negotiation.
 4. **Flexible & voluntary**: Relies on goodwill and cooperation.
 5. **Industrial democracy**: Ensures workers' participation in decision-making.
 6. **Give and Take**: Both sides compromise.
-

4.4 Objectives

For Workers	For Employers	For Society
Secure fair wages & benefits.	Maintain productivity & discipline.	Industrial peace & social justice.
Improve working	Minimize strikes &	Economic growth.

For Workers	For Employers	For Society
conditions.	disruptions.	
Gain job security.	Retain workforce loyalty.	Democratic participation.

4.5 Process of Collective Bargaining

1. **Preparation** → Study issues, data collection, drafting proposals.
 2. **Discussion** → Formal meeting between union & management.
 3. **Negotiation** → Exchange of proposals, counteroffers.
 4. **Agreement** → Draft settlement on agreed issues.
 5. **Implementation** → Apply agreement in workplace.
 6. **Review** → Monitor and revise if needed.
-

4.6 Types of Collective Bargaining

Type	Meaning	Example
Distributive (Win–Lose)	One gains at expense of other.	Wage increase vs. profit margin.
Integrative (Win–Win)	Both sides benefit.	Productivity-linked bonus.
Concessionary	Workers accept concessions to save jobs.	Wage freeze during crisis.
Productivity Bargaining	Higher pay in return for better output.	Incentive schemes.
Composite Bargaining	Covers non-wage issues too (training, welfare, rights).	Work hours, promotions.

4.7 Levels of Collective Bargaining

1. **Plant-level** → single enterprise, direct negotiation.
2. **Industry-level** → across an industry (e.g., banking).

3. **National-level** → tripartite agreements (Govt., employers, workers).
 4. **International-level** → rare, in global corporations.
-

4.8 Importance of Collective Bargaining

- Ensures **industrial peace** (reduces strikes/lockouts).
 - Promotes **industrial democracy**.
 - Improves **wages, conditions, social security**.
 - Enhances **worker morale, productivity**.
 - Provides a **grievance redressal mechanism**.
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4.9 Collective Bargaining in India

- **Legal basis:** Industrial Disputes Act, 1947.
 - Recognized by **Trade Union Act, 1926**.
 - Mostly at **enterprise level** (not industry-wide like USA/UK).
 - **Challenges:**
 - Multiplicity of unions.
 - Weak trade union structure.
 - Political rivalries.
 - Large unorganized sector.
 - Employer resistance.
 - Govt. intervention (compulsory arbitration reduces bargaining power).
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4.10 Methods of Conflict Resolution (Linked to Bargaining)

- **Voluntary:** Negotiation, conciliation, arbitration.
 - **Compulsory:** Adjudication by labour courts/tribunals.
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Quick Revision for UPSC EPFO

- **Meaning:** Negotiation between employers & workers.
- **Features:** Bilateral, continuous, voluntary, democratic.
- **Types:** Distributive, integrative, productivity, concessionary, composite.
- **Process:** Preparation → Discussion → Negotiation → Agreement → Implementation → Review.

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- **India:** Weak due to multiple unions, political rivalry, govt. interference.

Chapter 5: Grievance, Discipline & Conflict Resolution

5.1 Meaning of Grievance

- **Grievance** = Any **real or imagined feeling of injustice** by an employee about workplace conditions.
- It may relate to **wages, hours of work, promotion, safety, behaviour of supervisors, unfair practices, etc.**

In simple words: *Grievance = dissatisfaction of a worker that is formally expressed.*

5.2 Causes of Grievances

Cause	Examples
Economic	Low wages, overtime payment issues, bonus disputes.
Work Environment	Unsafe conditions, long hours, poor facilities.
Supervision	Harsh behaviour, victimization, unfair treatment.
Work Group Relations	Inter-union rivalry, discrimination, lack of recognition.
Organizational Policy	Transfers, promotions, leave rules, lack of career growth.

5.3 Grievance Redressal Procedure

1. **Step 1 – Informal complaint** to immediate supervisor.
2. **Step 2 – Written complaint** if not resolved.
3. **Step 3 – Review by grievance committee** (management + union).
4. **Step 4 – Appeal to higher authority** (HR or senior management).
5. **Step 5 – External mechanisms** (conciliation, labour court, tribunal).

Legal Basis: **Industrial Disputes Act, 1947** requires Works/Grievance Committees in large establishments.

5.4 Meaning of Discipline

- **Discipline** = Employees following organizational rules, procedures, and standards of conduct.
 - Aim: Ensure **orderly behaviour** and smooth functioning of industry.
 - Two Types:
 1. **Positive Discipline** → Self-discipline, motivation, rewards.
 2. **Negative Discipline** → Punishment for rule-breaking.
-

5.5 Principles of Discipline

- Discipline must be **fair, just, and known to all**.
 - Punishment should be **proportional to misconduct**.
 - Opportunity for worker to **explain his side** (natural justice).
 - Should be used as **last resort**, after counselling.
-

5.6 Types of Misconduct

- Absenteeism without permission.
 - Habitual late-coming.
 - Drunkenness, disorderly behaviour.
 - Insubordination.
 - Theft, fraud.
 - Strikes/gherao in violation of law.
-

5.7 Code of Discipline in India (1958)

- Voluntary agreement between **employers, workers, and government**.
 - Aims:
 - No strikes/lockouts without notice.
 - No violence, victimization, or coercion.
 - Respect agreements and awards.
 - Promote cooperation & consultation.
-

5.8 Conflict in Industrial Relations

- **Conflict** = Disagreement between employers and employees over issues like wages, hours, conditions, rights.
 - **Types of Industrial Disputes (ID Act, 1947):**
 1. **Interest disputes** → demand for new wages/benefits.
 2. **Rights disputes** → violation of existing laws/contracts.
 3. **Economic disputes** → bonus, allowances, layoffs.
 4. **Grievance disputes** → individual complaints.
-

5.9 Methods of Conflict Resolution

Method	Meaning	Nature
Collective Bargaining	Direct negotiation between union & management.	Voluntary
Conciliation	Govt. appointed officer mediates between parties.	Semi-voluntary
Arbitration	Neutral third party gives binding decision (if agreed).	Voluntary
Adjudication	Labour court/tribunal decides dispute.	Compulsory
Mediation	Mediator suggests compromise, not binding.	Voluntary

5.10 Preventive Measures

- **Grievance handling machinery.**
 - **Strong unions & fair management.**
 - **Joint consultative committees.**
 - **Worker participation in management.**
 - **Proper communication & transparency.**
-

Quick Revision for UPSC EPFO

- **Grievance** = dissatisfaction expressed formally.

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- **Procedure** = Supervisor → Committee → Appeal → Tribunal.
- **Discipline** = orderly behaviour; positive (self-control), negative (punishment).
- **Code of Discipline (1958)**: No strikes/lockouts without notice, no violence, promote cooperation.
- **Conflict resolution methods**: Bargaining, conciliation, arbitration, adjudication, mediation

Chapter 6: Labour Legislations

6.1 Meaning

- **Labour Legislation** = body of laws, rules, and regulations relating to the employment of workers.
- Purpose: To **protect workers**, regulate relations between employers & employees, and ensure **industrial peace**.

Labour is in the **Concurrent List** → both **Centre & States** can make laws (but Central law prevails in conflict).

6.2 Objectives of Labour Legislation

Objective	Explanation
Protection	Safeguard workers from exploitation (long hours, low wages, unsafe conditions).
Social Justice	Ensure equality, fair distribution of profits, dignity of labour.
Regulation	Balance power of employers & employees.
Welfare	Provide healthy working conditions, housing, canteens, crèches, etc.
Social Security	Protect workers from risks like sickness, accidents, old age, maternity.
Economic Development	Harmonious relations → productivity → national growth.
International Uniformity	Align with ILO standards.

6.3 Constitutional Framework for Labour Laws in India

- **Preamble** → Justice (social, economic, political).
 - **Fundamental Rights (Part III)**
 - Article 14: Equality before law.
 - Article 19(1)(c): Right to form associations/unions.
 - Article 23: Prohibition of forced labour.
 - Article 24: Prohibition of child labour below 14 years.
 - **Directive Principles (Part IV)**
 - Art. 38: Minimize inequalities.
 - Art. 39: Adequate livelihood, equal pay, protect health.
 - Art. 41: Right to work, education, assistance.
 - Art. 42: Just & humane conditions, maternity relief.
 - Art. 43: Living wage & decent standard of life.
 - Art. 43A: Workers' participation in management.
-

6.4 Evolution of Labour Legislation in India

1. **Pre-Independence (1850–1947)**
 - 1881: **First Factories Act** → working hours, child labour.
 - 1926: **Indian Trade Union Act** → legal recognition of unions.
 - 1936: **Payment of Wages Act**.
 - 1942: **Tripartite Labour Conference** (Govt., employers, workers).
 2. **Post-Independence (1947 onwards)**
 - 1947: **Industrial Disputes Act** → dispute resolution.
 - 1948: **Factories Act, Minimum Wages Act, ESI Act**.
 - 1952: **EPF Act**.
 - 1972: **Payment of Gratuity Act**.
 3. **Post-Liberalization (1991 onwards)**
 - Emphasis on globalization, competitiveness, social security.
 - Focus on unorganized & contract labour.
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6.5 Labour Codes (Recent Reforms)

To simplify 29 central labour laws, Govt. consolidated them into **4 Labour Codes**:

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Labour Code	Key Provisions
Code on Wages, 2019	Universal minimum wage, floor wage by Centre, equal pay, bonus provisions.
Industrial Relations Code, 2020	Governs trade unions, strikes/lockouts, layoffs; threshold for retrenchment = 300+ workers; reskilling fund for retrenched workers.
Occupational Safety, Health & Working Conditions (OSHWC) Code, 2020	Consolidates factory, mines, contract labour laws; 8-hour workday; women allowed in all sectors with safety; health & safety measures.
Code on Social Security, 2020	Extends social security to gig, platform & unorganized workers; EPF, ESI, gratuity; National Social Security Board.

Aim: Simplify compliance, protect workers, improve ease of doing business.

6.6 Important Labour Legislations (Before Codes)

Law	Purpose
Factories Act, 1948	Safety, health, welfare in factories.
Minimum Wages Act, 1948	Ensure minimum pay for workers.
Payment of Wages Act, 1936	Timely payment without deductions.
Industrial Disputes Act, 1947	Dispute resolution (conciliation, adjudication).
Trade Unions Act, 1926	Legal recognition of unions.
EPF Act, 1952	Provident fund, pension, deposit-linked insurance.
ESI Act, 1948	Medical care, sickness benefit, maternity benefit.
Payment of Gratuity Act, 1972	Retirement benefit after 5 years of service.

Law	Purpose
Maternity Benefit Act, 1961	Paid maternity leave, job security.
Contract Labour Act, 1970	Regulates contract workers' rights.

6.7 Role of ILO in Indian Labour Laws

- India is a **founding member** of ILO (1919).
 - Ratified **40+ Conventions**.
 - Core principles:
 - Labour is not a commodity.
 - Freedom of association.
 - Equal pay.
 - No forced/child labour.
 - Indian laws (Factories Act, EPF, ESI, Child Labour Act) influenced by ILO standards.
-

6.8 Challenges in Labour Legislation

1. **Multiplicity & complexity** of laws → compliance burden.
 2. **Implementation gap** → weak enforcement in unorganized sector.
 3. **Contract labour & gig workers** → lack social security.
 4. **Union opposition** to reforms.
 5. **Balancing ease of doing business vs. worker protection.**
-

Quick Revision for UPSC EPFO

- Labour in **Concurrent List**.
- Objectives: Protection, social justice, welfare, security.
- **Constitutional basis**: FR (Art. 14, 19, 23, 24) + DPSP (Art. 38–43A).
- Recent reforms: **4 Labour Codes** (Wages, IR, OSHWC, Social Security).
- Major laws: Factories Act, ID Act, Trade Union Act, EPF, ESI, Gratuity, Maternity.
- ILO → global standards, India founding member.

Chapter 7: Social Security Measures in India

7.1 Meaning

- **Social Security** = protection given by society (through government laws/schemes) to workers against risks like **illness, accidents, unemployment, old age, maternity, death**.
- It ensures a **minimum standard of living** and promotes **social justice**.

In simple words: *Social security = safety net for workers against economic & social risks.*

7.2 Objectives

Objective	Explanation
Protection	Shield workers against income loss due to sickness, disability, old age.
Equity & Justice	Provide fair living conditions for weaker sections.
Welfare	Improve standard of living & health of workers.
Productivity	Reduce insecurity → improve morale & efficiency.
Nation-building	Promote inclusive growth & stability.

7.3 Types of Social Security

Type	Examples
Social Insurance (contributory: workers + employers + govt.)	Provident Fund, Pension, ESI, Unemployment Insurance.
Social Assistance (non-contributory, govt. funded)	Old-age pensions, widow pensions, disability pensions.

Type	Examples
Other Welfare Measures	Housing, education, nutrition schemes.

7.4 Constitutional Provisions

- **Art. 38:** Promote welfare of people.
 - **Art. 39:** Right to livelihood, prevent wealth concentration.
 - **Art. 41:** Right to work, education, public assistance in unemployment, old age, sickness, disability.
 - **Art. 42:** Just & humane work conditions, maternity relief.
 - **Art. 43:** Living wage & decent standard of life.
 - **Art. 43A:** Workers' participation in management.
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7.5 Major Social Security Legislations in India

Act	Purpose
Employees' State Insurance (ESI) Act, 1948	Medical, sickness, maternity, disablement, dependants' benefits.
Employees' Provident Fund (EPF) Act, 1952	Provident Fund, Pension Scheme (EPS), Deposit-linked Insurance.
Maternity Benefit Act, 1961	Paid maternity leave, job security.
Payment of Gratuity Act, 1972	Lump-sum payment on retirement (min. 5 years service).
Workmen's Compensation Act, 1923 (now Employees' Compensation Act)	Compensation for injury/death at work.
Unorganized Workers Social Security Act, 2008	Social security schemes for unorganized sector workers.

7.6 Recent Reforms – Code on Social Security, 2020

- Consolidates **9 laws** (EPF, ESI, Gratuity, Maternity, etc.).

Industrial Relations & Social Security by Tatva trend

- Coverage extended to:
 - **Gig workers** (e.g., Ola/Uber drivers).
 - **Platform workers** (app-based delivery, digital platforms).
 - **Unorganized workers** (domestic workers, street vendors).
 - **Key features:**
 - Mandatory registration of establishments.
 - National Social Security Board for unorganized workers.
 - Universal social security coverage.
-

7.7 Social Security Schemes in India

Scheme	Beneficiaries	Benefit
PM Shram Yogi Maandhan (2019)	Unorganized workers (18–40 yrs)	Pension ₹3000/month after 60 yrs.
Atal Pension Yojana (2015)	Unorganized sector	Pension ₹1000–5000/month.
PM Suraksha Bima Yojana	All citizens (18–70 yrs)	Accident insurance up to ₹2 lakh.
PM Jeevan Jyoti Bima Yojana	All citizens (18–50 yrs)	Life insurance ₹2 lakh.
Ayushman Bharat (PM-JAY)	Poor households	Health insurance ₹5 lakh/family.
National Social Assistance Programme (NSAP)	Elderly, widows, disabled (BPL)	Pensions, assistance.

7.8 Challenges in Social Security

1. **Huge unorganized sector** → 90% workers still outside effective coverage.
 2. **Multiplicity of schemes** → overlapping, poor coordination.
 3. **Low awareness** among workers.
 4. **Financial constraints** for govt. & employers.
 5. **Implementation issues** → leakages, corruption, weak monitoring.
-

7.9 Importance of Social Security

- Protects workers & families against poverty.
 - Reduces inequality.
 - Promotes industrial peace & loyalty.
 - Contributes to inclusive economic growth.
-

Quick Revision for UPSC EPFO

- **Types:** Social insurance (PF, ESI), social assistance (pensions).
- **Acts:** ESI (1948), EPF (1952), Maternity (1961), Gratuity (1972).
- **Reform:** Code on Social Security (2020) → gig & unorganized workers included.
- **Schemes:** PM-SYM, Atal Pension, PMJJBY, PMSBY, Ayushman Bharat.
- **Challenge:** 90% workforce still unorganized.

Chapter 8: Wage Policy, Wage Regulation & Bonus

8.1 Meaning of Wages

- **Wage** = monetary payment by employer to worker for services rendered.
- Includes: basic pay, allowances, overtime, bonuses, etc.
- Excludes: gratuity, PF contribution, retrenchment compensation (as per law).

Wages are not just income, but also a measure of **living standard, motivation, and industrial peace**.

8.2 Concepts of Wages

Type	Meaning
Nominal Wages	Money received in cash (without considering price rise).
Real Wages	Purchasing power of wages (adjusted for inflation).
Minimum Wages	Legally fixed floor wage → employer cannot pay below this.
Fair Wages	More than minimum, less than living wage; fair share in industry's prosperity.
Living Wages	Enable worker to maintain decent living standard (food, clothing, shelter, health, education, social needs).

8.3 Objectives of Wage Policy

1. Ensure **minimum living standards**.
2. Reduce wage inequalities.
3. Attract & retain efficient workers.
4. Maintain industrial peace by fair settlement.
5. Increase productivity through incentives.

6. Achieve social justice (reduce poverty, inequality).
-

8.4 Constitutional Basis

- **Art. 39(d):** Equal pay for equal work.
 - **Art. 43:** Living wage, fair conditions of work.
 - **Art. 23:** Prohibition of forced labour.
 - **Art. 24:** Ban on child labour below 14 yrs.
-

8.5 Wage Policy in India

- **Tripartite Bodies:** Indian Labour Conference (ILC), Minimum Wages Advisory Boards.
 - **National Wage Policy:** No formal single policy, but principles guided by Fair Wage Committee (1949).
 - **Major Principles:**
 - Need-based minimum wage.
 - Link wages with productivity.
 - Reduce regional & sectoral disparities.
-

8.6 Wage Regulation Laws in India

Law	Objective
Minimum Wages Act, 1948	Fixes minimum wage in scheduled employments.
Payment of Wages Act, 1936	Timely payment without unauthorized deductions.
Equal Remuneration Act, 1976 (now in Code on Wages, 2019)	Equal pay for equal work, no gender discrimination.
Payment of Bonus Act, 1965	Profit-sharing → workers get statutory bonus.
Code on Wages, 2019	Consolidates above 4 laws; universal minimum wage, floor wage, timely payment.

8.7 Payment of Bonus

- **Bonus** = extra payment in addition to wages, linked to profits or productivity.
- **Payment of Bonus Act, 1965:**
 - Applies to establishments with **20+ employees**.
 - **Minimum bonus:** 8.33% of salary/wages.
 - **Maximum bonus:** 20%.
 - Eligibility: Employee with salary $\leq$ ₹21,000/month.
 - Includes productivity & customary bonus (like festival bonus).

8.8 Wage Boards in India

- Tripartite bodies (govt., employers, employees) to recommend wage structures.
- Example: Wage Boards for journalists, sugar industry, working journalists & newspaper employees.
- Criticism: Delays, lack of uniformity, limited coverage.

8.9 Factors Affecting Wage Determination

1. **Economic factors** → demand & supply of labour, productivity.
2. **Cost of living** → inflation, price index.
3. **Industry capacity to pay.**
4. **Government policies** → minimum wage laws.
5. **Collective bargaining & trade unions.**
6. **Skills & qualifications of workers.**

8.10 Recent Developments

- **Code on Wages, 2019** (yet to be fully implemented):
 - Universal application → organized + unorganized sector.
 - **National floor wage** fixed by Centre, states cannot go below it.
 - Ensures gender equality in wages.
 - Simplifies compliance by merging 4 laws.

Quick Revision for UPSC EPFO

- **Types of wages:** Minimum, fair, living, nominal, real.
- **Fair Wage Committee (1949):** Need-based minimum wage.
- **Bonus Act, 1965:** Min 8.33%, Max 20%.
- **Important Acts:** Minimum Wages (1948), Payment of Wages (1936), Equal Remuneration (1976), Bonus (1965).
- **Reform:** Code on Wages (2019) → universal minimum wage, floor wage.

Chapter 9: Workers' Participation in Management (WPM)

9.1 Meaning

- **Workers' Participation in Management (WPM)** = involvement of workers in **decision-making** of the organization.
- It is a system of **industrial democracy**, where workers share responsibility with management.

In simple words: *WPM = giving workers a voice in decisions affecting their work.*

9.2 Objectives

Objective	Explanation
Industrial Peace	Reduce strikes, disputes by involving workers.
Democracy at Work	Workers treated as partners, not just labourers.
Efficiency	Better decisions through worker insights.
Social Justice	Share benefits of industry fairly.
Belongingness	Workers feel part of the organization → higher morale.

9.3 Forms of WPM

1. **Informative Participation** → Management shares information (plans, production, policies).
 2. **Consultative Participation** → Workers consulted before decisions (suggestions considered).
 3. **Associative Participation** → Joint committees, councils with management.
 4. **Administrative Participation** → Workers involved in implementing decisions.
 5. **Decisive Participation** → Workers have equal vote in decision-making (rare in India).
-

9.4 Methods of WPM in India

Method	Features
Works Committee (ID Act, 1947)	Employer + worker reps; discuss day-to-day issues.
Joint Management Councils (1950s)	Advisory role in welfare, training, productivity.
Shop Councils & Joint Councils (1975)	Shop Council at department level; Joint Council at enterprise level.
Unit Councils (1977, banking sector)	For service industry employees.
Worker Directors (PSUs)	Worker representatives nominated on Boards of public enterprises.
Collective Bargaining	Indirect participation through unions.

9.5 Workers' Participation in India – Legal & Policy Basis

- **Directive Principles (Art. 43A, 42nd Amendment, 1976):**
 - “The State shall take steps to secure workers’ participation in management of undertakings.”
 - **Industrial Disputes Act, 1947:** Mandated **Works Committees** in units with 100+ workers.
 - **1975 Emergency Period:** Govt. launched **Shop Councils & Joint Councils Scheme**.
 - **Public Sector Undertakings (PSUs):** Worker Directors included in Boards.
-

9.6 Advantages of WPM

- Builds **industrial harmony**.
- Reduces strikes/lockouts.
- Improves **productivity & quality**.
- Promotes **team spirit**.
- Increases **worker motivation & loyalty**.

9.7 Limitations of WPM in India

1. **Lack of strong trade unions** → weak worker voice.
 2. **Multiplicity of unions** → inter-union rivalry.
 3. **Employer resistance** → fear of losing authority.
 4. **Workers' apathy** → low interest in participation.
 5. **Government schemes unsuccessful** → advisory role, not binding.
 6. **Mostly in public sector**, private sector reluctant.
-

9.8 International Experience

- **Germany:** *Co-determination law* → workers on company boards.
 - **UK & USA:** Focus on collective bargaining, not direct participation.
 - **Japan:** Enterprise unions, close worker–management cooperation.
-

9.9 Recent Developments

- Inclusion of **Art. 43A** in Constitution.
 - **PSUs** experimenting with worker directors.
 - Private sector adopting **quality circles, participative management teams**.
 - Labour Codes emphasize **consultation with workers**.
-

Quick Revision for UPSC EPFO

- **WPM = workers sharing decision-making with management.**
- **Forms:** Informative → Consultative → Associative → Administrative → Decisive.
- **Schemes:** Works Committee (1947), Joint Councils, Shop Councils (1975), Worker Directors in PSUs.
- **Constitutional Basis:** Art. 43A (Directive Principles).
- **India's Problem:** Weak unions, employer resistance, poor implementation.

Chapter 10: International Labour Organization (ILO)

10.1 Introduction

- **ILO** = specialized UN agency for labour issues.
 - Founded in **1919** (Treaty of Versailles, after WW-I).
 - Became first specialized UN agency in **1946**.
 - Headquarters: **Geneva, Switzerland**.
 - Motto: “**Social Justice is essential to Universal and Lasting Peace.**”
-

10.2 Objectives

1. Promote **social justice** & decent working conditions.
 2. Protect workers against exploitation.
 3. Promote **collective bargaining & freedom of association**.
 4. Ensure **social security & minimum wages**.
 5. Abolish **forced labour & child labour**.
 6. Promote **equal opportunities** and treatment.
-

10.3 Structure of ILO

ILO is unique → has **tripartite structure**:

1. **Governments.**
2. **Employers.**
3. **Workers.**

Main Organs of ILO:

Organ	Functions
International Labour Conference (ILC) (World Parliament of Labour)	Meets annually; drafts & adopts conventions & recommendations.
Governing Body	Executive council; sets agenda, budget,

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Organ	Functions
	supervises ILO work.
International Labour Office	Secretariat; conducts research, provides technical assistance.
International Court of Justice (ICJ)	Disputes on interpretation of ILO conventions.

10.4 Conventions & Recommendations

- **Conventions** = legally binding international treaties (when ratified).
- **Recommendations** = guidelines, not binding.

Till now, ILO has adopted **190+ Conventions**.

10.5 Core Conventions of ILO

(India ratified 6 of 8 Core Conventions)

Convention	Subject	India's Status
C29	Forced Labour	Ratified
C87	Freedom of Association	Not Ratified
C98	Right to Organize & Collective Bargaining	Not Ratified
C100	Equal Remuneration	Ratified
C105	Abolition of Forced Labour	Ratified
C111	Discrimination (Employment & Occupation)	Ratified
C138	Minimum Age for Employment	Ratified (2017)
C182	Worst Forms of Child Labour	Ratified (2017)

10.6 ILO and India

- **India = founding member** (1919).
 - Major role in drafting conventions.
 - **Permanent seat** in ILO Governing Body.
 - Ratified many conventions on **wages, hours of work, safety, maternity, child labour**.
 - India's labour laws influenced by ILO:
 - Factories Act (1948).
 - Minimum Wages Act (1948).
 - Equal Remuneration Act (1976).
 - Child Labour (Prohibition & Regulation) Act.
-

10.7 Achievements of ILO

- Established **labour standards** globally.
 - Promoted **tripartism** (Govt–Employer–Worker cooperation).
 - Abolition of **forced & child labour**.
 - Promoted **social security schemes**.
 - Won **Nobel Peace Prize in 1969**.
-

10.8 Limitations of ILO

1. Conventions not binding unless ratified.
 2. Many countries (incl. India) reluctant to ratify due to domestic constraints.
 3. Weak enforcement mechanism.
 4. More effective in developed countries than in developing ones.
-

Quick Revision for UPSC EPFO

- **Founded:** 1919, HQ: Geneva.
- **Tripartite structure:** Govt, Employers, Workers.
- **Core Conventions:** 8 (India ratified 6, not 87 & 98).
- **India:** Founding member, permanent Governing Body seat.
- **Nobel Peace Prize:** 1969.
- **Constitutional Link:** DPSP – Art. 39, 41, 43, 43A reflect ILO principles.

Chapter 11: Globalisation and its Impact on Labour

11.1 Meaning of Globalisation

- **Globalisation** = increasing integration of economies through **trade, investment, technology, and labour mobility**.
 - Started in India with **Economic Reforms of 1991 (LPG Policy)** – Liberalisation, Privatisation, Globalisation.
 - It has deeply affected **industries, labour markets, and industrial relations**.
-

11.2 Features of Globalisation

1. Free flow of goods & services (global trade).
 2. Free flow of capital & investment.
 3. Migration of labour (though restricted compared to capital).
 4. Technology transfer, IT & automation.
 5. Integration of national economies with world economy.
-

11.3 Positive Impact on Labour

Aspect	Impact
Employment Opportunities	New jobs in IT, services, manufacturing, exports.
Skill Development	Demand for higher skills, training, professional growth.
Higher Wages	In specialized sectors (IT, finance, pharma).
Work Culture	Adoption of global standards, better HR practices.
Social Security Awareness	Multinational companies (MNCs) brought international welfare standards.

11.4 Negative Impact on Labour

Aspect	Impact
Job Insecurity	Contractualisation, outsourcing, layoffs.
In formalisation	Rise in unorganized/gig jobs with little security.
Wage Inequality	High gap between skilled & unskilled workers.
Union Weakening	Multiplicity of unions + employer resistance.
Stressful Work Culture	Long hours, work pressure, health issues.
Child & Women Labour Exploitation	Seen in low-cost export industries (garments, leather, etc.).

11.5 Globalisation & Industrial Relations in India

- Shift from **conflict** → **cooperation** (focus on productivity, not strikes).
 - Rise of **contract labour, casualisation** → unions weakened.
 - Govt. policies favour “**ease of doing business**” → pro-employer tilt.
 - Labour laws consolidated into **4 Labour Codes** to simplify compliance.
 - Growing role of **conciliation, arbitration** instead of strikes.
-

11.6 Globalisation & Social Security

- Majority of Indian workers in **unorganized sector (≈90%)** remain outside social security.
 - Govt. response:
 - **Code on Social Security (2020).**
 - Schemes like **PM Shram Yogi Maandhan, Atal Pension Yojana, Ayushman Bharat.**
 - But coverage still low.
-

11.7 Challenges for Labour in Global Era

1. **Jobless growth** in manufacturing.
2. **Automation/AI** replacing unskilled jobs.

3. **Exploitation of gig/platform workers.**
 4. **Race to the bottom** – companies shift to countries with cheap labour.
 5. Weak enforcement of labour laws.
-

11.8 Way Forward

- Strengthen **skill development** (Skill India, PMKVY).
 - Extend **universal social security** (gig & unorganized workers).
 - Encourage **social dialogue** (Govt–Employer–Worker cooperation).
 - Promote **decent work agenda** (ILO standards).
 - Ensure **gender equality** & protection against discrimination.
-

Quick Revision for UPSC EPFO

- **Globalisation in India:** 1991 LPG reforms.
- **Positive impact:** More jobs, higher wages (skilled sector), better HR practices.
- **Negative impact:** Job insecurity, contractualisation, wage inequality, union weakening.
- **Industrial Relations:** Shift from strikes → negotiation, but unions weaker.
- **Challenge:** 90% workers unorganized, social security gap.
- **Reform:** Labour Codes (2019–20), Skill India, social security schemes.

Chapter 12: Industrial Relations in Public & Private Sector

12.1 Meaning

- **Industrial Relations (IR)** = relationship between **employers, employees, and government** in an industry.
 - In India, IR differs in **Public Sector Undertakings (PSUs)** vs **Private Sector Enterprises** due to **ownership, objectives, and policies**.
-

12.2 Industrial Relations in Public Sector

Characteristics:

1. **Ownership:** Govt. owns & manages → focus on welfare + nation-building.
2. **Objectives:** Social justice, employment generation, not just profit.
3. **Trade Unions:** Strong presence, often **politically affiliated**.
4. **Conflict:** Frequent strikes/gheraos in 1960s–70s; now more **collective bargaining & negotiation**.
5. **Worker Participation:** Workers on Boards (worker-directors), joint consultative councils.
6. **Government Role:** Direct employer + policymaker → strong intervention in disputes.

Problems:

- Inter-union rivalry (INTUC, AITUC, CITU, BMS).
 - Overstaffing & inefficiency due to political pressure.
 - Resistance to reforms & modernization.
-

12.3 Industrial Relations in Private Sector

Characteristics:

1. **Ownership:** Profit-oriented, controlled by individuals/corporates.
2. **Objectives:** Cost reduction, productivity, competitiveness.
3. **Trade Unions:** Weaker compared to PSUs; many employer-dominated.

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4. **Conflict:** Management resists unionisation → more **individual bargaining**.
5. **Worker Participation:** Limited; mostly through HR practices, not formal councils.
6. **Flexibility:** More use of **contract labour, outsourcing, gig work**.

Problems:

- Job insecurity, layoffs, retrenchments.
- Weak unionism, lack of collective bargaining.
- High wage disparity between skilled/unskilled.
- Exploitation in unorganized sector.

12.4 Public vs. Private Sector – Comparison

Aspect	Public Sector	Private Sector
Ownership	Government	Private Individuals/Corporates
Objective	Welfare + nation-building	Profit maximization
Union Strength	Strong, politically linked	Weak, fragmented
Conflict Nature	Frequent strikes (esp. in 1970s)	Employer resistance to unions
Worker Participation	Worker-directors, councils	Limited, mostly HR-driven
Government Role	Direct employer + regulator	Regulator only
Job Security	High (till reforms)	Low, contractualisation common

12.5 Government Role in IR (Both Sectors)

- Enacts & enforces labour laws (ID Act, Trade Union Act, Labour Codes).
- Acts as **mediator/conciliator** in disputes.
- Balances **worker welfare vs. business competitiveness**.
- Post-liberalisation: Encouraging **flexibility & ease of doing business**.

12.6 Recent Trends

- **Public Sector:** Downsizing, disinvestment, voluntary retirement schemes (VRS).
 - **Private Sector:** HR-driven IR, focus on productivity & technology.
 - **Overall:**
 - Decline of strikes, rise in negotiations.
 - Growth of **contract, gig, platform economy**.
 - Shift from welfare to **efficiency & competitiveness**.
 - Govt. pushing **4 Labour Codes** for uniformity.
-

Quick Revision for UPSC EPFO

- **Public Sector IR:** Strong unions, govt. intervention, worker participation.
- **Private Sector IR:** Profit-driven, weak unions, contractualisation.
- **Comparison:** Public = welfare + unions; Private = profit + HR practices.
- **Trend:** Decline in strikes, rise of contract/gig jobs, labour codes introduced.

Chapter 13: Emerging Trends in Industrial Relations (IR)

13.1 Meaning

- **Industrial Relations (IR)** are continuously evolving with **globalisation, technology, and policy reforms**.
 - Traditional IR (union–employer conflicts) is giving way to **cooperation, flexibility, and HR-driven practices**.
-

13.2 Key Emerging Trends

1. Decline of Traditional Unionism

- Multiplicity of unions, political rivalry, declining membership.
- Rise of **knowledge workers** (IT, finance, services) → less unionised.

2. Growth of Contract & Gig Work

- Companies prefer **contractual, temporary, gig workers** to cut costs.
- Job insecurity, limited social security.
- Govt. response → **Code on Social Security, 2020** extends coverage to gig/platform workers.

3. Technological Impact

- Automation, AI, robotics replacing unskilled jobs.
- New skills in demand → focus on **Skill India, digital training**.
- Work-from-home, flexible hours post-COVID.

4. Shift from Conflict → Cooperation

- Less strikes/lockouts, more **conciliation, arbitration, collective bargaining**.
- Focus on productivity, quality, competitiveness.

5. HR-Driven Industrial Relations

- Modern companies adopt **HRM practices** instead of traditional IR.
- Employee engagement, performance appraisal, incentives, wellness programs.

6. Women in Workforce

- More participation of women, especially in services.
- Issues: gender discrimination, safety, maternity benefits.
- Legal support: **Maternity Benefit Act (1961, amended 2017)** → 26 weeks leave.

7. International Influence

- ILO standards, WTO trade rules, CSR norms influence labour practices.
- MNCs bring global best practices → but also outsource to low-wage nations.

8. Government Reforms

- **Labour Codes (2019–20)**: 29 laws merged into 4 simplified codes.
- Emphasis on **ease of doing business** + **worker protection**.

9. Rise of Social Dialogue

- Tripartism (Govt–Employer–Workers) encouraged.
- Greater use of **conciliation officers, tribunals, arbitration** instead of strikes.

13.3 Challenges in Future IR

1. Protecting **rights of gig & unorganized workers**.
2. Balancing **ease of doing business vs. labour welfare**.
3. Tackling **jobless growth & automation impact**.
4. Ensuring **effective enforcement of labour codes**.
5. Bridging **skill gap** for future workforce.

13.4 Way Forward

- Strengthen **social security net** (pensions, insurance, health).
 - Promote **skill development & re-skilling**.
 - Encourage **collective bargaining in new sectors** (IT, gig).
 - Ensure **gender equality & safe workplaces**.
 - Foster **industrial democracy & worker participation**.
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Quick Revision for UPSC EPFO

- **Emerging trends:** Decline of unions, rise of gig work, tech impact, HR practices, global standards.
- **Govt reforms:** Labour Codes (2019–20), focus on universal social security.
- **Future challenges:** Automation, job insecurity, weak enforcement.
- **Way forward:** Skills + social security + worker participation + gender equality.

Quick Notes: Industrial Relations

Chapter 1: Introduction to Industrial Relations

- **IR = relationship between employers, employees & govt.**
 - **Scope:** Wages, working conditions, trade unions, dispute settlement.
 - **Objectives:** Industrial peace, productivity, social justice.
 - **Approaches:** Psychological, Sociological, HRM, Tripartite.
-

Chapter 2: Trade Unions

- **Definition:** Workers' association to protect interests.
 - **Functions:**
 - Protective → wages, safety.
 - Militant → strikes, bargaining.
 - Fraternal → welfare, education.
 - **Problems in India:** Political interference, multiple unions, low membership.
 - **Law:** Trade Unions Act, 1926 → legal recognition.
-

Chapter 3: Collective Bargaining

- **Meaning:** Negotiation between management & workers (via unions).
 - **Types:** Conjunctive (win-lose), Integrative (win-win), Productivity-linked.
 - **Process:** Preparation → Negotiation → Agreement → Implementation → Review.
 - **Conditions for success:** Strong union, flexible management, govt. support.
-

Chapter 4: Industrial Disputes

- **Meaning:** Conflict between employers & employees.
- **Causes:** Wages, work conditions, retrenchment, recognition of unions.
- **Settlement methods:**
 - Voluntary: Collective bargaining, mediation, arbitration.
 - Compulsory: Conciliation, adjudication (Labour Court/Tribunal).
- **Law:** Industrial Disputes Act, 1947.

Chapter 5: Grievance, Discipline & Conflict Resolution

- **Grievance:** Formal expression of dissatisfaction.
- **Procedure:** Supervisor → Committee → Appeal → Tribunal.
- **Discipline:** Positive (self-control) & Negative (punishment).
- **Code of Discipline (1958):** No strikes/lockouts without notice.
- **Conflict Resolution:** Bargaining, conciliation, arbitration, adjudication, mediation.

Chapter 6: Labour Legislations

- **Objective:** Protect workers, ensure justice, welfare, security.
- **Constitutional basis:** FR (Art. 14, 19, 23, 24) + DPSP (Art. 38–43A).
- **Important Acts:** Factories Act (1948), Minimum Wages Act (1948), ID Act (1947), EPF (1952), ESI (1948).
- **Recent Reform: 4 Labour Codes (2019–20):** Wages, IR, OSHWC, Social Security.

Chapter 7: Social Security Measures

- **Meaning:** Protection against risks of sickness, old age, accidents, maternity.
- **Types:**
 - Social insurance (contributory: PF, ESI).
 - Social assistance (govt-funded pensions).
- **Key Laws:** EPF (1952), ESI (1948), Maternity Benefit (1961), Gratuity (1972).
- **Schemes:** PM-SYM, Atal Pension Yojana, Ayushman Bharat.
- **Reform: Code on Social Security (2020).**

Chapter 8: Wage Policy, Regulation & Bonus

- **Types of Wages:** Nominal, Real, Minimum, Fair, Living.
- **Laws:** Minimum Wages Act (1948), Payment of Wages Act (1936), Bonus Act (1965), Equal Remuneration Act (1976).
- **Payment of Bonus Act:** 8.33%–20% of wages, salary ≤ ₹21,000 eligible.
- **Reform: Code on Wages (2019)** → floor wage, equal pay, universal coverage.

Chapter 9: Workers' Participation in Management (WPM)

- **Forms:** Informative → Consultative → Associative → Administrative → Decisive.
- **Schemes in India:** Works Committees (1947), Shop/Joint Councils (1975), Worker Directors in PSUs.
- **Constitutional Basis:** Art. 43A (1976).
- **Limitation:** Weak unions, employer resistance.

Chapter 10: ILO (International Labour Organization)

- **Founded:** 1919; HQ: Geneva.
- **Structure:** Tripartite – Govt, Employers, Workers.
- **Core Conventions (8):** India ratified 6 (not 87 & 98).
- **India:** Founding member, permanent Governing Body seat.
- **Achievement:** Nobel Peace Prize (1969).

Chapter 11: Globalisation & Labour

- **Positive:** More jobs, higher wages (skilled), better HR practices.
- **Negative:** Job insecurity, contractualisation, wage inequality, weak unions.
- **Impact on IR:** Shift from conflict → cooperation; but rise in contract/gig work.
- **Challenge:** 90% workforce unorganized, automation threat.

Chapter 12: IR in Public & Private Sector

- **Public Sector:** Strong unions, govt. intervention, worker participation, job security.
- **Private Sector:** Profit-driven, weak unions, contractualisation, limited worker say.
- **Comparison:** Public = welfare + unions; Private = profit + HR practices.
- **Trend:** Disinvestment, HR-led IR, decline in strikes.

Chapter 13: Emerging Trends in IR

- **Decline of unions**, rise of **gig & contract labour**.
 - **Technology & automation** changing jobs.
 - **HRM replacing traditional IR**.
 - **Women workforce rising** (Maternity Benefit Act: 26 weeks leave).
 - **Reforms:** Labour Codes, social security for gig/unorganized workers.
 - **Future Challenges:** Jobless growth, enforcement gaps, skill mismatch.
-

One-Page Quick Revision (For Exam)

- **IR = employer–employee–govt relationship.**
- **Trade Unions Act (1926)** → recognition of unions.
- **ID Act (1947)** → dispute resolution (conciliation, arbitration, adjudication).
- **Code of Discipline (1958)** → voluntary agreement, no strikes without notice.
- **Labour Codes (2019–20):** Wages, IR, OSHWC, Social Security.
- **Social Security:** EPF, ESI, Gratuity, Maternity Benefit + PM-SYM, APY.
- **Bonus Act (1965):** 8.33%–20%, up to ₹21,000 salary.
- **WPM:** Works Committees, Shop Councils, Art. 43A.
- **ILO:** 1919, Geneva, tripartite, 8 core conventions (India ratified 6).
- **Globalisation:** Jobs ↑ but security ↓; rise of gig economy.
- **Public vs Private IR:** Public = strong unions, govt role; Private = weak unions, contractualisation.
- **Emerging Trends:** Automation, gig work, HR-led IR, Labour Codes.